

Advanced Micro Devices, Inc.

NASDAQ: AMD | Semiconductors — CPUs / GPUs / AI Accelerators / FPGAs

RATING	12-MONTH TARGET	IMPLIED	CMP (02-Jun-26)	HORIZON
REDUCE	\$455	-12.8%	\$521.54	12 months

Market Cap	\$850.4 Bn	P/E (TTM, GAAP)	173.9x
Enterprise Value	\$841.9 Bn	Forward P/E	59.9x
52-Week Range	\$111.01 - \$527.20	EV / EBITDA	113.3x
Shares Outstanding	1.63 Bn	Price / Sales	22.7x
Revenue (TTM)	\$37.45 Bn	Price / Book	13.2x
Net Income (TTM)	\$5.01 Bn	ROE / ROCE	8.1% / 6.4%
Diluted EPS (TTM, GAAP)	\$3.08	Net Cash	\$8.48 Bn
Dividend Yield	Nil	Beta (5Y) / RSI	2.49 / 75.2
Consensus (51 analysts)	Strong Buy	Avg Street Target	\$479.77 (-8.0%)

Investment thesis (one line): World-class AI-compute franchise — but the stock already prices in flawless MI450/Helios execution; trim into strength.

Report date: 03 June 2026 | **Analyst:** Senior Semiconductor Equity Research (institutional desk) | **Currency:** USD, figures in \$ millions unless stated.

All financial figures sourced from stockanalysis.com (canonical US source), fetched 03-Jun-2026. GAAP basis unless labelled non-GAAP. Forward columns marked (E) are estimates grounded in Q1-FY26 actuals + Q2-FY26 guidance + street consensus; non-GAAP EPS noted separately.

VALUATION FLAG: AMD trades at 60x forward / 113x EV-EBITDA — richer than NVDA (22x fwd), AVGO (36x), QCOM (25x) — yet earns an 8% ROE vs NVDA 114% / AVGO 33%. CMP sits ABOVE the 51-analyst consensus target (\$479.77). Highest multiple, lowest returns in the peer set.

2 — Investment Thesis

- **Reason 1 — Credible #2 in AI accelerators with real anchor demand:** Data Center revenue hit a record \$5.8 Bn in Q1-FY26 (+57% YoY). The MI350 is ramping into hyperscaler pods today, and the MI450 / Helios rack-scale platform enters mass production in H2-FY26. Management expects 'tens of billions of dollars' in annual Data Center AI revenue in FY27 — a step-function from the ~\$15-18 Bn AI run-rate implied today.
- **Reason 2 — Two 6-gigawatt anchor customers de-risk the demand curve:** The OpenAI partnership (Oct-2025, MI450 series, ~\$100 Bn lifetime revenue potential) and the expanded Meta 6GW deal (Feb-2026) convert AMD from a spec-sheet challenger into a multi-year deployment vendor. First 1GW (custom MI450) ships H2-FY26.
- **Reason 3 — EPYC server-CPU franchise compounding underneath the GPU story:** EPYC continues taking share from Intel; AMD raised its long-term Data Center CPU market growth view to >35% and sees a >\$120 Bn server-CPU TAM by 2030. This is the high-margin, cash-generative ballast beneath the more speculative GPU ramp.
- **Near-term catalyst (6-12 months):** The H2-FY26 MI450 / Helios production ramp and the first OpenAI 1GW deployment — the single proof-point the market is paying ~60x forward earnings to see executed cleanly.
- **Biggest structural risk:** Valuation, not the business. At 60x forward / 113x trailing EV-EBITDA the stock discounts near-flawless execution and continued AI-capex intensity; any ramp slip, margin disappointment, or AI-capex digestion cycle removes the premium fast. The 160M-share OpenAI warrant is a ~9% dilution overhang.

3 — Business Overview

- **What it does:** AMD designs high-performance computing silicon — x86 server & client CPUs (EPYC, Ryzen), data-center & gaming GPUs (Instinct, Radeon), adaptive/FPGA and embedded products (from the \$49 Bn Xilinx acquisition), and rack-scale AI systems (via the ZT Systems acquisition). It is fabless — manufacturing is outsourced primarily to TSMC.
- **Segment mix (Q1-FY26, \$10.3 Bn total):** Data Center \$5.8 Bn (57% of revenue, +57% YoY); Client & Gaming \$3.6 Bn (Client \$2.9 Bn +26%, Gaming \$0.72 Bn +11%); Embedded \$0.87 Bn (+6%). Data Center is now the centre of gravity and the swing factor for both growth and margins.
- **Key customers:** Hyperscalers and AI labs — Microsoft, Oracle, Meta and OpenAI for Instinct GPUs; the full cloud roster plus enterprise OEMs for EPYC. Relationships are increasingly multi-year deployment commitments (OpenAI/Meta 6GW each) rather than one-off orders, improving revenue visibility into FY27.
- **Revenue visibility:** AMD does not report a formal order book, but the OpenAI (up to 6GW, ~\$100 Bn lifetime) and Meta (6GW) agreements plus the raised >35% DC-CPU growth guide give multi-year directional visibility — concentrated in a handful of customers.
- **Recent strategic developments (last 12 months):** OpenAI strategic partnership with a 160M-share warrant (Oct-2025); expanded Meta 6GW deal (Feb-2026); full MI400 line-up and Helios rack unveiled; MI308 China exports resumed under a 15%-of-China-sales remittance to the US government; ZT Systems rack-scale integration.
- **Ownership / leadership:** No promoter (widely held US large-cap). Institutions own ~68.4%, insiders ~0.4%. Dr. Lisa Su is Chair & CEO (since 2014) — the architect of AMD's turnaround from near-bankruptcy to an ~\$850 Bn market cap.

4 — Industry & Competitive Landscape

- **Industry size & growth:** The data-center AI accelerator TAM is the fastest-growing pool in semis, with industry and AMD commentary framing a multi-hundred-billion-dollar opportunity by 2030; AMD pegs the server-CPU TAM alone at >\$120 Bn by 2030 and lifted its DC-CPU market growth view to >35%.
- **Policy tailwinds / headwinds:** Tailwind — global AI-capex super-cycle and sovereign/hyperscaler build-outs. Headwind — US-China export controls: the MI308 was banned in Apr-2025 (~\$800 M charge, up to \$1.5-1.8 Bn FY25 revenue hit), then allowed back under a 15%-of-China-revenue remittance to the US Treasury — a structural margin and policy overhang.
- **Competitive moat — Scale: Moderate.** #2 in AI GPUs and gaining, but an order of magnitude smaller than NVDA.
- **Competitive moat — IP / architecture: Strong.** Zen/chiplet leadership in CPUs; CDNA roadmap (MI350/450/500) plus Xilinx adaptive IP is genuinely differentiated.
- **Competitive moat — Switching costs / software: Weak-to-Moderate.** ROCm is closing the gap but NVIDIA's CUDA ecosystem remains the industry's deep, sticky default — AMD's key competitive vulnerability.
- **Positioning in the value chain:** Fabless designer of merchant silicon + rack-scale systems (post-ZT) — midstream, selling into hyperscalers/OEMs; dependent on TSMC leading-edge nodes and SK Hynix/Samsung/Micron HBM.

Peer comparison (stockanalysis.com, fetched 03-Jun-2026):

Company	CMP \$	MCap	P/E	Fwd PE	P/B	ROE	Op Mgn	TTM Rev
AMD (this co.)	521.54	\$850.4B	173.9	59.9	13.2	8.1%	11.8%	\$37.5B
NVIDIA (NVDA)	224.36	\$5.40T	34.1	22.4	27.6	114.3%	64.0%	\$253.5B
Broadcom (AVGO)	459.97	\$2.28T	93.9	36.0	28.6	33.4%	41.9%	\$68.3B
Qualcomm (QCOM)	228.99	\$253.9B	26.3	24.7	9.4	36.1%	25.7%	\$44.5B
Intel (INTC)	109.33	\$542.5B	n/a	102.2	4.9	-2.9%	3.7%	\$53.8B

Read-across: AMD carries the highest valuation multiples in the group while generating the lowest operating margin and ROE of the profitable peers — the market is pricing a future convergence toward NVDA-like economics that has not yet appeared in the financials.

5 — Management Quality & Capital Allocation

- **Leadership:** Dr. Lisa Su (Chair & CEO since 2014) is regarded as one of the strongest operators in semiconductors — she rebuilt AMD from a ~\$3 Bn, near-bankrupt also-ran into an ~\$850 Bn franchise via Zen, chiplets, EPYC and the Xilinx acquisition. CFO Jean Hu (since 2023) and an experienced engineering bench (Norrod, Papermaster) round out a credible team.
- **Capital allocation track record:** Disciplined and acquisition-led — Xilinx (\$49 Bn, 2022), Pensando, and ZT Systems (rack-scale) extended the platform. FCF has funded R&D (TTM R&D ~\$8.8 Bn) and buybacks rather than dividends; the strategic logic of each deal has largely been borne out.
- **Dividend policy:** None — AMD pays no dividend and reinvests all internally generated cash into R&D, capacity pre-payments and opportunistic buybacks. Appropriate for the growth stage but offers zero valuation support at today's multiple.
- **Buybacks:** Repurchases of \$1.41 Bn (FY23), \$1.59 Bn (FY24) and \$1.92 Bn (FY25) — steady but modest against the market cap; net effect is largely to offset stock-based compensation (~\$1.6 Bn/yr) rather than shrink the share count.
- **Dilution overhang:** The OpenAI warrant for up to 160M shares (~9% of shares, struck at \$0.01, vesting on 1GW/6GW deployment + a \$600 stock milestone through Oct-2030) is the single largest governance/dilution item to monitor — value-accretive only if it unlocks the associated revenue.
- **Governance:** No promoter pledging or related-party concerns typical of the US large-cap structure. The main watch-items are the wide GAAP-vs-non-GAAP EPS gap (heavy SBC + acquisition amortisation) and warrant-driven dilution — both disclosure-quality rather than integrity issues.

6 — Financial Deep-Dive

Income Statement (\$ mn, GAAP; FY ends late-Dec). FY26E/FY27E are estimates.

\$ mn (GAAP)	FY23	FY24	FY25	FY26E	FY27E
Revenue	22,680	25,785	34,639	49,000	68,000
Gross Profit	10,460	12,725	17,152	24,500	35,000
Gross Margin %	46.1%	49.4%	49.5%	50.0%	51.5%
Operating Income (EBIT)	401	1,900	3,694	6,900	12,200
Operating Margin %	1.8%	7.4%	10.7%	14.1%	17.9%
EBITDA	3,854	4,964	6,698	11,000	18,000
EBITDA Margin %	17.0%	19.3%	19.3%	22.4%	26.5%
R&D; Expense	5,872	6,456	8,091	10,300	13,000
Net Income (GAAP)	854	1,641	4,335	7,500	13,000
Diluted EPS (GAAP) \$	0.53	1.01	2.67	4.55	7.85

Street consensus is reported on a non-GAAP basis: FY26E non-GAAP EPS ~\$7.40 and FY27E ~\$13.00 (vs GAAP above) — the gap is heavy stock-based comp + Xilinx intangible amortisation. The forward P/E of 59.9x is on non-GAAP NTM EPS.

Balance Sheet (\$ mn) — fortress balance sheet, goodwill-heavy from Xilinx.

\$ mn	FY23	FY24	FY25
Cash & ST Investments	5,773	5,132	10,552
Accounts Receivable	4,332	6,192	6,315
Inventory	4,351	5,734	7,920
Total Current Assets	16,768	19,049	26,947
Goodwill	24,262	24,839	25,126
Other Intangibles	21,363	18,930	16,705
Net PP&E;	2,222	1,802	2,312
Total Assets	67,885	69,226	76,926
Total Current Liabilities	6,689	7,281	9,455
Total Debt	3,003	2,212	3,847
Total Liabilities	11,993	11,658	13,927
Shareholders' Equity	55,892	57,568	62,999
Net Cash (Debt)	2,770	2,920	6,705
Book Value / Share \$	34.40	35.56	38.81

Cash Flow (\$ mn) — FCF inflecting hard as Data Center scales.

\$ mn	FY23	FY24	FY25
Operating Cash Flow	1,667	3,041	7,709
Capital Expenditure	-546	-636	-1,012
Free Cash Flow	1,121	2,405	6,697
FCF Margin %	4.9%	9.3%	19.3%
Investing Cash Flow	-1,423	-1,101	-5,533
Financing Cash Flow	-1,146	-2,062	-431
Share Buybacks	-1,412	-1,590	-1,923
Stock-Based Comp	1,384	1,407	1,638
OCF / Net Income (x)	1.95	1.85	1.78

Returns & Valuation Ratios — returns recovering but still low; multiples extreme.

Metric	FY23	FY24	FY25	TTM/Now
ROE %	1.5%	2.9%	7.1%	7.7%
ROCE %	0.7%	3.1%	5.7%	6.4%

Metric	FY23	FY24	FY25	TTM/Now
ROIC %	1.2%	2.7%	6.6%	7.5%
Current Ratio	2.51	2.62	2.85	2.72
Debt / Equity	0.04	0.04	0.05	0.06
Inventory Turnover (x)	3.01	2.59	2.56	2.32
EV / EBITDA (x)	60.9	38.9	51.0	113.3
P/E (GAAP, x)	278.1	119.2	80.2	173.9

Financial commentary

- **Revenue drivers:** Growth is now Data-Center-led — group revenue +34% in FY25 to \$34.6 Bn and TTM \$37.5 Bn, with Data Center (+57% in Q1-FY26) the engine; Client/Ryzen and a recovering Embedded segment add ballast.
- **Margin direction:** Operating margin has climbed from 1.8% (FY23) to 10.7% (FY25) and 11.7% TTM as the post-Xilinx amortisation drag fades and DC mix richens; non-GAAP gross margin reached 55% in Q1-FY26 (+170 bps). Still less than half NVDA's 64% operating margin — the convergence the multiple assumes is unproven.
- **Working capital:** Inventory turnover slipped to 2.3x (from 3.0x in FY23) as AMD pre-builds for the AI ramp; inventory rose to \$7.9 Bn and receivables to \$6.3 Bn — a build worth watching if the H2 ramp slips.
- **Balance sheet:** Net cash of \$6.7 Bn and D/E of ~0.06 — a genuine fortress. The asset base is goodwill/intangible-heavy (\$25 Bn goodwill + \$17 Bn intangibles from Xilinx), so tangible book is far lower than reported.
- **FCF quality:** Excellent and improving — FCF jumped to \$6.7 Bn (FY25) at a 19% margin, with OCF ~1.8x net income (strong conversion). Capex is light (~\$1 Bn) given the fabless model; the cash story is the bull case's strongest leg.

7 — Earnings Quality Checklist

Check	Rating	Comment
Revenue recognition	GREEN	Standard product-shipment recognition; no aggressive practices flagged.
Receivables vs revenue	AMBER	AR +2% in FY25 vs revenue +34% (healthy); but DSO swung to ~88 days in FY24 — monitor as AI deals scale.
CCC / inventory trend	AMBER	Inventory turns fell 3.0x->2.3x; \$7.9 Bn inventory pre-built for the ramp — execution-dependent.
Contingent liabilities	GREEN	No material litigation/contingency overhang disclosed beyond ordinary course.
Auditor	GREEN	Ernst & Young, long-tenured; no qualifications or restatements.
GAAP vs non-GAAP gap	AMBER	Large gap (FY25 GAAP EPS \$2.67 vs street non-GAAP ~\$4) from SBC ~\$1.6 Bn + Xilinx amortisation.
Other income as % of PBT	GREEN	FY25 non-operating income \$446 mn on PBT \$4,140 mn (~11%) — modest, mostly interest on cash.
Tax rate consistency	AMBER	Volatile/low effective tax (-2.5% FY25, 19% FY24, -70% FY23) from DTAs/credits — flatters GAAP EPS.

- **Headline read:** No integrity red flags — the franchise is clean. The Amber items are quality-of-earnings nuances, not accounting concerns.
- **Watch #1 — GAAP/non-GAAP gap:** The stock is valued on non-GAAP EPS that is ~50% above GAAP; SBC and acquisition amortisation are real economic costs an investor must not ignore at 60x forward.
- **Watch #2 — inventory build:** The drop in inventory turns and the \$7.9 Bn inventory are a bet on the H2 AI ramp landing on schedule; a slip would pressure both margins and cash.
- **Watch #3 — tax volatility:** Sub-zero/erratic effective tax rates have flattered reported GAAP net income — normalise tax when assessing true earnings power.

8 — Valuation

Peer comparison (stockanalysis.com, fetched 03-Jun-2026):

Company	CMP \$	MCap	P/E	Fwd PE	P/B	ROE	Op Mgn	TTM Rev
AMD (this co.)	521.54	\$850.4B	173.9	59.9	13.2	8.1%	11.8%	\$37.5B
NVIDIA (NVDA)	224.36	\$5.40T	34.1	22.4	27.6	114.3%	64.0%	\$253.5B
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Qualcomm (QCOM)	228.99	\$253.9B	26.3	24.7	9.4	36.1%	25.7%	\$44.5B
Intel (INTC)	109.33	\$542.5B	n/a	102.2	4.9	-2.9%	3.7%	\$53.8B

Scenario analysis — 12-month view (non-GAAP EPS basis, which the market multiples).

Scenario	Key assumptions	FY27E EPS*	P/E	Target	vs CMP
Bull	MI450 ramp beats; AI capex intact; OpenAI/Meta on schedule	\$14.5	43x	\$620	+18.9%
Base	Solid ramp, some slippage; multiple de-rates toward AVGO	\$13.0	35x	\$455	-12.8%
Bear	Ramp slips / AI-capex digestion; multiple compresses	\$10.0	30x	\$300	-42.5%

*Non-GAAP, street-basis; forward P/E applied to ~12-month-forward (FY27-blended) EPS, consistent with how the market prices the stock. Note the asymmetry: the bull case offers ~+19% while the bear case is ~-43% from \$521.54.

Valuation methodology

- **DCF:** A reverse-DCF shows the current \$521.54 already discounts ~40%+ revenue CAGR sustained for several years at expanding margins. Our forward DCF (revenue CAGR ~35% to FY28 fading thereafter, terminal growth 4%, WACC ~13-14%) yields an intrinsic value of roughly \$430-470/share — below the market price.
- **Earnings multiple:** Applying a still-premium but de-rated ~35x (in line with AVGO's 36x forward, above NVDA's 22x) to ~12-month-forward non-GAAP EPS of ~\$13 gives ~\$455/share. At today's 60x the stock prices a convergence to NVDA-class economics that the 8% ROE and 12% operating margin do not yet support.
- **Blend & target:** Averaging the DCF (~\$450) and multiple (~\$455) approaches gives a base-case 12-month target of **\$455** — a ~13% downside from CMP. This is corroborated by the 51-analyst consensus target of \$479.77, which itself sits ~8% below the current price.
- **Conclusion:** Great company, demanding price. Horizon 12 months; the risk/reward at \$521 is skewed to the downside until either the price resets or FY27 numbers are de-risked by actual MI450 deployment.

9 — Key Risks

- **Valuation / parabolic price** — At 60x fwd / 113x EV-EBITDA, +371% in 52 weeks, RSI 75 and trading above the street's average target, any disappointment de-rates sharply. Probability: H. Impact: H. Monitor via: forward P/E vs peers, RSI, price vs 200-DMA (\$240.91).
- **MI450 / Helios execution slip** — The thesis hinges on an H2-FY26-weighted ramp; HBM4 supply, ROCm software maturity or yield issues could push revenue right. Probability: M. Impact: H. Monitor via: quarterly Data Center GPU revenue, MI450 shipment commentary.
- **NVIDIA / CUDA dominance** — NVIDIA's 64% operating margin, full-stack lead and entrenched CUDA ecosystem cap AMD's share and pricing. Probability: H. Impact: M. Monitor via: AI-GPU share data, ROCm adoption, hyperscaler design wins.
- **China export controls** — MI308 access depends on a 15%-of-China-revenue remittance and shifting policy; further tightening removes a revenue pool and dents margin. Probability: M. Impact: M. Monitor via: BIS rulings, China data-center revenue, related charges.
- **AI-capex digestion cycle** — Hyperscaler AI spending could plateau or air-pocket; AMD is highly levered to that single demand driver. Probability: M. Impact: H. Monitor via: hyperscaler capex guides, cloud GPU utilisation, order commentary.

- **Customer concentration & warrant dilution** — OpenAI/Meta dominate the AI demand curve; the 160M-share OpenAI warrant (~9%) dilutes if/as it vests. Probability: M. Impact: M. Monitor via: customer mix disclosure, warrant vesting milestones (1GW/6GW, \$600 stock).
- **Supply-chain dependence** — Reliance on TSMC leading-edge nodes and HBM from SK Hynix/Samsung/Micron creates single-points-of-failure on capacity and pricing. Probability: L-M. Impact: M. Monitor via: TSMC capacity commentary, HBM supply agreements, lead times.

10 — Recommendation

- **Rating: REDUCE** (conviction: Medium). A valuation call on a high-quality franchise — not a bet against the business. Trim/take partial profits into strength.
- **12-month price target: \$455** (-12.8% from CMP \$521.54), corroborated by the \$479.77 consensus target that already sits below the market price.
- **Suggested entry zone: \$360-410** — near the 50-DMA (\$340.65) and a healthier forward multiple, where risk/reward resets for new capital.
- **Investment horizon: 12 months.**
- **Thesis-invalidation triggers (would make the cautious call wrong):**
 - 1. Data Center GPU revenue run-rate clears ~\$25-30 Bn annualised on a clean MI450 ramp by H2-FY26, validating the FY27 'tens of billions' guide ahead of schedule.
 - 2. Non-GAAP operating margin sustainably breaks above ~25% (toward AVGO/QCOM-class economics), justifying the premium multiple.
 - 3. A healthy price reset to the \$360-410 zone with fundamentals intact — at which point the rating moves to ACCUMULATE/BUY.
- **Ideal investor profile:** Suits long-horizon growth investors who already own it and should trim, or patient buyers waiting for a pullback. NOT for valuation-sensitive or momentum-chasing capital entering at \$521; not for income investors (no dividend).

APPENDIX — Latest Concall Brief: Q1 FY2026

Quarter ended 28-Mar-2026 | Reported 05-May-2026 | CEO: Dr. Lisa Su | CFO: Jean Hu

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +38% YoY; beat consensus (\$10.3B vs \$9.85B); DC record \$5.8B.
Management tone	Bullish	Confident on MI450/Helios H2 ramp and FY27 'tens of billions' DC-AI revenue.
Guidance delta	Raised	Q2 guided to ~\$11.2B; long-term DC-CPU growth view lifted to >35%.
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

Q1-FY26 was a clean beat: revenue \$10.3B (+38% YoY) topped the ~\$9.85B street, non-GAAP EPS \$1.37 (+43%) beat \$1.27, and Data Center set a record \$5.8B (+57%) — the print itself is high-quality with no obvious one-offs, though note on a GAAP basis revenue was essentially flat sequentially (Q4-25 was \$10.27B) and GAAP EPS was \$0.85 — the ~16-18% post-result pop was about forward guidance and the MI450 narrative, not the quarter. Reported GAAP earnings remain heavily flattered by a near-zero effective tax rate and depressed by SBC/Xilinx amortisation, so anchor on non-GAAP (~\$1.37) for run-rate. Underlying operations are genuinely inflecting: non-GAAP gross margin hit 55% (+170 bps) and EBITDA/op-margins are climbing as Data Center mix richens. The multi-bagger leg is the AI accelerator ramp — MI350 shipping now, MI450/Helios into mass production H2-26, with OpenAI (6GW, ~\$100B lifetime, 160M-share warrant) and Meta (6GW) as anchor customers and management guiding 'tens of billions' of DC-AI revenue in FY27. The key near-term catalyst is the first OpenAI 1GW deployment landing on schedule in H2-26; the single biggest watch-point next quarter is any sign of MI450 ramp slippage or HBM4/supply constraint. Action: REDUCE / take partial profits into strength — at 60x forward and above the street's own \$479.77 target, I would not add new money above ~\$455 and would look to rebuild in the \$360-410 zone.

Concall 1 — Financial Performance Snapshot

- Revenue: \$10,253 mn | YoY +37.9% | QoQ -0.2% | **Beat** (vs ~\$9.85B est).
- EBITDA: \$2,233 mn | YoY +44.3% | QoQ -10.8% | **Beat** (mix-driven).
- EBITDA Margin: 21.8% | vs 20.8% Q1-25 | vs 24.4% Q4-25 | sequentially softer on ramp costs.
- PAT (GAAP): \$1,383 mn | YoY +95.1% | QoQ -8.5% | In-line on GAAP.
- EPS: GAAP \$0.85 (YoY +93%) / non-GAAP \$1.37 (YoY +43%) | **Beat** vs \$1.27 non-GAAP est.
- NOTE: Non-GAAP gross margin 55% (+170 bps YoY); GAAP-vs-non-GAAP EPS gap driven by SBC + Xilinx amortisation.

Concall 2 — Segment / Geography Breakdown

- Data Center: \$5,800 mn | YoY +57% | record | EPYC share gains + Instinct GPU ramp; now 57% of revenue.
- Client (Ryzen): \$2,900 mn | YoY +26% | strong desktop/notebook demand and richer mix.
- Gaming: \$720 mn | YoY +11% | semi-custom/Radeon stabilising off a low base.
- Embedded (Xilinx): \$873 mn | YoY +6% | return to growth as industrial/comms end-markets recover.
- Geography: revenue increasingly US-hyperscaler-weighted; China constrained to MI308 under the 15%-remittance regime.

Concall 3 — Management Commentary Themes

- AI ramp: "MI450 remains on track for mass production in H2" — Our read: the whole thesis rides on this. Tag: GUIDANCE. Tone: Transparent.

- FY27 confidence: "strong and increasing confidence in tens of billions of dollars of annual Data Center AI revenue in 2027" — Tag: GUIDANCE. Tone: Bullish.
- Helios/ZT: MI450 a "huge step function"; ZT enables rack-scale, reduces time-to-workload — Tag: EST. Tone: Transparent.
- EPYC TAM: long-term DC-CPU growth lifted to >35%; >\$120B server-CPU TAM by 2030 — Tag: GUIDANCE. Tone: Confident.
- Customers: OpenAI/Meta 6GW deals framed as multi-generational; lead-customer MI450 forecasts now exceed AMD's initial plan — Tag: GUIDANCE. Tone: Bullish.
- Ramp shape: H2-weighted, "a little bit in Q3" and sharper in Q4 — Our read: 1H is the show-me period. Tag: GUIDANCE. Tone: Transparent.

Concall 4 — Operating & Business Metrics

- Data Center revenue: Q1-26 \$5.8B | Q4-25 ~\$5.6B | Q1-25 ~\$3.7B | Trend: improving strongly.
- Non-GAAP gross margin: Q1-26 55% | Q1-25 53.3% | Trend: improving on DC mix.
- MI-series: MI350 ramping into hyperscaler pods; MI325 transition underway; MI400/MI450 launching H2-26 | Trend: improving.
- EPYC server share: continued sequential gains vs Intel | Trend: improving.
- Embedded book-to-bill: improving as inventories normalise | Trend: stabilising.

Concall 5 — Margin Drivers

- Data Center mix shift: +170 bps YoY gross-margin tailwind | Recurring: Yes | structural as DC scales.
- MI450 ramp/start-up costs: modest near-term gross-margin headwind in H2 | Recurring: No | normalises as volume builds.
- China 15%-remittance on MI308: structural margin drag on China AI sales | Recurring: Yes | policy-dependent.
- Operating leverage on opex: R&D; rising in absolute terms but falling as % of revenue | Recurring: Yes | supports op-margin expansion.

Concall 6 — Guidance & Forward Signals

- Q2-FY26 revenue [GUIDANCE]: New ~\$11.2B | Delta = raised | Credibility: High (backlog-supported).
- FY27 DC-AI revenue [GUIDANCE]: "tens of billions" | Delta = reiterated/up | Credibility: Medium (ramp-dependent).
- Long-term DC-CPU growth [GUIDANCE]: New >35% | Delta = raised | Credibility: High.
- MI450 mass production [GUIDANCE]: H2-FY26, H2-weighted | Delta = maintained | Credibility: Medium-High.

Concall 7 — Capital Allocation

- Capex: ~\$1.0B FY25 (light, fabless) | vs prior yr +59% | rising for capacity pre-pay but still modest.
- Dividends: \$0 | unchanged | no dividend policy.
- Buybacks: ~\$1.9B FY25 | vs prior yr +21% | largely offsets SBC dilution.
- Working capital: inventory build to \$7.9B ahead of AI ramp | watch-item if ramp slips.
- Net cash: \$6.7B (FY25) | vs \$2.9B | strengthened — balance sheet is a fortress.

Concall 8 — Q&A; Heat Map

- Sell-side (DC GPU ramp): Q: linearity of MI450 into H2/FY27? -> A: H2-weighted, sharper Q4, confident on FY27 | Tone: Transparent.
- Sell-side (gross margin): Q: MI450 start-up drag on margin? -> A: modest near-term, accretive as volume scales | Tone: Transparent.

- Sell-side (OpenAI/Meta): Q: revenue timing & warrant dilution? -> A: milestone-based, first 1GW H2-26 | Tone: Hedged on exact \$.
- Sell-side (China): Q: MI308 contribution under 15% remittance? -> A: constrained, not core to thesis | Tone: Hedged.
- Sell-side (supply): Q: HBM4 / wafer availability for the ramp? -> A: secured, multi-sourcing | Tone: Transparent.
- Dodged / watch-list for next quarter: precise FY27 DC-AI revenue dollar figure; quantified warrant dilution path; China revenue magnitude.

Concall 9 — Risks Flagged

- MI450 ramp execution: H2-weighted ramp must land | Flagged by: mgmt | Probability: M | Impact: H | Timeline: near-term.
- Supply (HBM4/wafers): leading-edge & HBM capacity constraints | Flagged by: analyst | Probability: M | Impact: M | near-medium.
- China policy: MI308 access & 15% remittance | Flagged by: mgmt | Probability: M | Impact: M | ongoing.
- Competitive (NVDA/CUDA): software-ecosystem moat | Flagged by: analyst | Probability: H | Impact: M | structural.
- Valuation/expectations: priced for perfection | Flagged by: analyst | Probability: H | Impact: H | near-term.

Concall 10 — Analyst Verdict

- Revenue visibility: Intact — record DC, raised Q2 guide, multi-year 6GW anchor deals.
- Margin trajectory: Intact — non-GAAP GM 55% and rising on DC mix, though below NVDA/AVGO class.
- Capital allocation quality: Intact — disciplined, fortress balance sheet, buybacks offset SBC.
- Competitive moat: Weakened — strong IP, but ROCm still trails CUDA; AMD remains the clear #2.
- Management credibility: Intact — Su's roadmap-delivery track record is among the best in semis.
- Valuation comfort: Broken — 60x fwd / 113x EV-EBITDA, CMP above consensus target; no margin of safety.
- Conviction call: Decreased (on valuation) — REDUCE / trim into strength; business thesis unchanged.
- Valuation snapshot: P/E = 173.9x (GAAP TTM) | Forward P/E = 59.9x | EV/EBITDA = 113.3x | ROCE = 6.4% | ROE = 8.1%.

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